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MINI CASE – OURA

EXECUTIVE SUMMARY

Five years from now, the world of wellness will not just be worn; it will be lived. The wearables that once tracked steps or sleep will evolve into intelligent companions that understand, predict, and respond to the body in real time. They will no longer be silent observers but proactive partners, anticipating stress before it strikes, detecting illness before it surfaces, and translating every heartbeat into personalized and actionable insights. Health will no longer live only in hospitals or fitness apps; it will live on us and with us, woven into the rhythms of our daily lives. But as technology moves closer to our skin, it must earn what matters most: trust. The future of the global wearable and wellness experience will hinge on one defining question—how much control are we ready to give technology over our health, and how far are we willing to let artificial intelligence guide our bodies, minds, and decisions?

The next five years will be shaped by two powerful uncertainties that sit at the heart of this transformation: the degree of consumer trust and the depth of AI reliance. These two dimensions will determine whether the future of wellness becomes a hyper-personalized, data-driven revolution or a cautious, privacy-conscious evolution. The first uncertainty, the level of consumer trust driving wearable adoption, captures whether users will freely share biometric data or retreat amid fears of misuse and surveillance. If brands prove credible, transparent, and clinically validated, wearables could evolve into fully integrated digital health twins, seamlessly connecting diagnostics, therapy, and prevention. But if distrust deepens, adoption will slow, giving rise to privacy-first models built on decentralization, data control, and user sovereignty. The second uncertainty, the degree of AI reliance in health guidance, asks whether people will trust algorithms as primary health coaches or continue to rely on human expertise. A world of high AI reliance would see predictive insights, autonomous health recommendations, and continuous guidance embedded into everyday living, while a low-AI world would blend the logic of algorithms with the empathy of human coaches. Together, these two forces will shape whether the future of wellness is AI-driven and data-trusted, or human-led and privacy-bound.

From these uncertainties, four distinct and plausible futures emerge, each defining not just how consumers live but how industries compete.

In the first, **Digital Health Twin: Trusted Twins, AI Wins**, consumers trust technology deeply and rely on it fully. Wearables evolve into connected health ecosystems, linking users with doctors, insurers, and lifestyle platforms through seamless consented data sharing. Incumbents like Apple or Google integrate AI coaching into their operating systems, embedding themselves into everyday health decisions and making switching nearly impossible. Insurgents carve niches in metabolic tracking or specialized coaching, leveraging partnerships with these dominant ecosystems to scale. Adjacent players like diagnostic labs and wellness platforms integrate bi-directional data, creating transparent, measurable wellness outcomes. Power consolidates around trusted orchestrators that control standards, platforms, and outcomes.

In the second, **Human Touch Economy: Trusted Data, Humans Matter**, consumers trust data handling but still prefer the warmth and wisdom of human guidance. Devices become accurate companions that support, rather than replace, professional expertise. Incumbents strengthen clinician-led platforms, integrating high-fidelity data into care workflows, while insurgents focus on premium coaching and therapeutic accountability. Adjacent players position themselves as service bridges that connect measurement with empathy, where results depend not on automation but on the quality of human connection. Here, brands win by building human-tech synergy rather than full automation.

The third scenario, **Algorithmic Mirage: Black Box Hype, Trust Takes a Hike**, depicts a world where AI dominates headlines but fails to earn trust. Opaque models, privacy controversies, and inconsistent results cause adoption to spike and crash. Users feel manipulated, and brands scramble to stabilize loyalty. Incumbents shift focus to transparency and on-device data processing, while insurgents fade unless they prove ethical AI and measurable accuracy. Adjacents narrow permissions to explicit, revocable scopes and reduce auto actions to stay credible. Regulation tightens, and only companies that make control, explainability, and credibility visible every day sustain their share. In this landscape, truth, not technology, becomes the ultimate differentiator.

Finally, **Privacy Fortress: Privacy Tight, Simple in Sight** emerges where both trust and AI reliance are low. Consumers value autonomy over analytics, choosing privacy-preserving, low-data devices that do less but do it

reliably. Incumbents emphasize hardware durability, security, and battery life. Insurgents innovate around offline wellness, local analytics, and visible user control. Adjacent players minimize integrations, leading to a fragmented, commodity-like market. Success here depends on authenticity and dependability rather than complexity and prediction.

Across all these futures, one insight is clear: trust is the defining currency of the wellness era, and those who protect it will own the next generation of health technology.

For Oura, this moment represents both opportunity and risk. Its success will depend on building a brand that balances innovation with credibility, transforming its identity from a smart ring maker into a trusted health orchestrator. The opportunities are immense. Oura can position itself as a central node in the connected health ecosystem, linking consumers, clinicians, and insurers through ethical data sharing and clinically validated insights. By shaping standards around privacy and interoperability, Oura can become the "Intel Inside" of personalized digital wellness, enabling others to innovate atop its platform. Moreover, its ability to balance AI-driven insights with human-centric care offers it a unique chance to serve diverse consumer preferences, from the tech-empowered to the privacy-protective.

But the threats are equally significant. Erosion of trust through data misuse or ethical missteps could quickly undo years of brand equity. Rising competition from incumbents like Apple and Samsung could commoditize the smart ring market and diminish differentiation. Legal disputes, public controversies, and subscription fatigue could further weaken loyalty and raise churn. As the lines between wellness and medical diagnostics blur, Oura must avoid the trap of overextension and stay rooted in ethical, clinically sound innovation.

The real question here is not whether technology will evolve, but whether humanity's trust in that technology will. Oura's challenge is to transform that fragile trust into its greatest strength. As artificial intelligence increasingly defines how individuals understand and act upon their health, Oura's competitive edge will lie not in choosing between human or machine intelligence but in orchestrating balance between the two. Its strategy must remain adaptable across the full spectrum of AI reliance, embracing advanced analytics where users seek precision while preserving human connection where empathy matters most. Rather than positioning AI as the hero, Oura must use it as an enabler of trust, transparency, and empowerment. By embedding explainable intelligence and giving users control over how much AI guides their wellness journey, Oura can convert uncertainty itself into differentiation, transforming the question from "How much do we trust AI?" to "How much can AI help us trust ourselves?"

To thrive in this shifting landscape, Oura's strategic focus should rest on three key platforms: a trusted data platform, collaborative partnerships, and a connected wellness ecosystem, all grounded in the **Creating Shared Value (CSV)** framework. Rather than viewing business growth and societal benefit as separate goals, Oura must merge the two, building economic value in ways that also create value for people and the broader wellness community. Its trusted data platform should empower users to control their information through transparent systems such as the Oura Trust Vault, positioning data privacy not as a constraint but as a competitive advantage. Through collaborative partnerships with companies like Dexcom, Headspace, and Talkspace, Oura can integrate physical, mental, and preventive health into a single, unified experience, making wellness both holistic and human. Finally, by nurturing a connected ecosystem that invites startups, universities, and healthcare organizations to co-innovate using secure, anonymized data, Oura can amplify collective progress and extend its role from a product maker to a purpose-driven wellness enabler.

These platforms translate into concrete and measurable actions. First, Oura must rebuild and reinforce trust, not only through advanced encryption and product durability but by giving users genuine visibility into how their data drives insights. Second, it should expand and deepen partnerships that transform the ring from a tracking device into a personalized prevention tool for individuals and organizations alike. Third, it must lead the creation of an open innovation network, a digital wellness community that turns anonymized data into new ideas, research, and solutions that benefit both users and society. Through these strategic steps, Oura can move beyond growth metrics and establish long-term resilience grounded in shared value.

Ultimately, Oura's future depends on how well it can transform technology into trust. In a world overflowing with data, the winners will not be those who collect the most information but those who deserve it the most. If Oura can unite ethics, intelligence, and empathy into one seamless experience, it will not just stay relevant; it will redefine what it means to be well. The next five years will decide whether Oura remains a fleeting name in wearable history or becomes the invisible heartbeat of a connected, trusted, and truly human future of wellness.

APPENDIX – 1: SCENARIO MAPPING

Uncertainty 1: Degree of Consumer Trust Driving Wearable Adoption

High – Strong Trust, Strong Adoption: Consumers trust brands with their biometric data and see wearables as reliable health partners. Transparent data practices, clinical validation, and ethical AI drive rapid adoption. Wearables evolve into integrated "digital health twins", connecting diagnostics, mental health, and preventive care within trusted ecosystems. The market consolidates around credible players offering both personalization and privacy assurance.

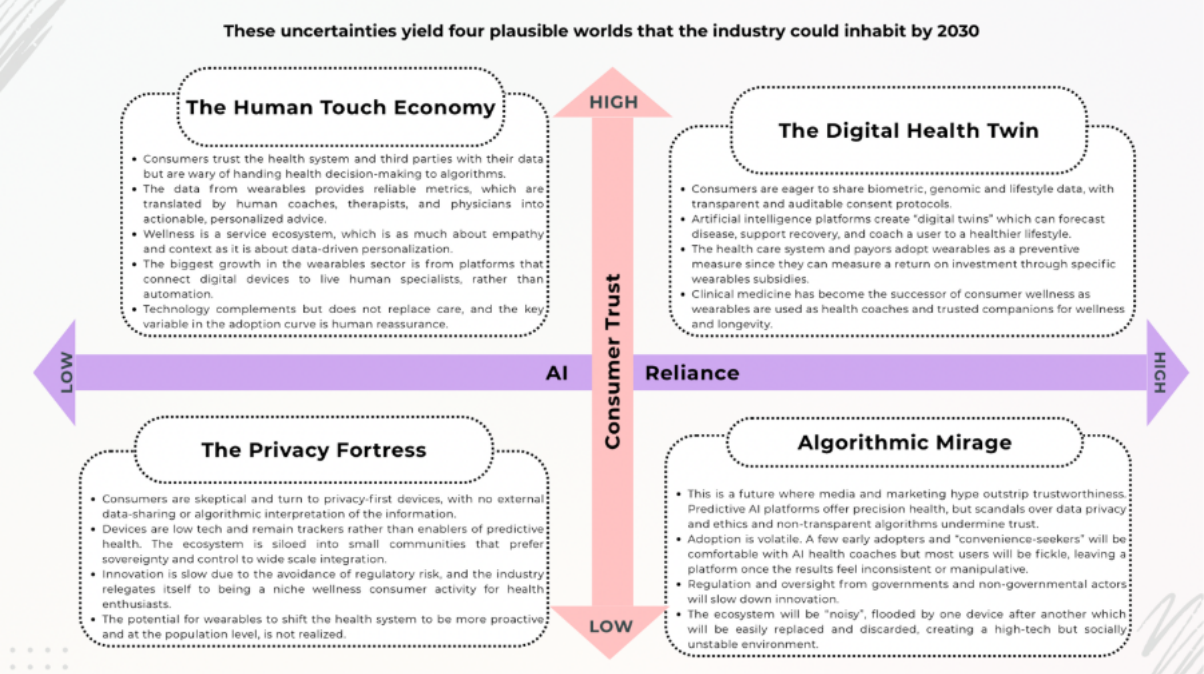
Low – Weak Trust, Weak Adoption: Consumers distrust data collection and sharing, fearing misuse, surveillance, or breaches. Adoption slows as users reject continuous tracking and prefer privacy-first, low-data solutions. The market fragments toward decentralized or offline wellness tools, forcing brands to rebuild trust through user ownership, anonymization, and transparency.

Uncertainty 2: Depth of AI Reliance in Personal Health Guidance

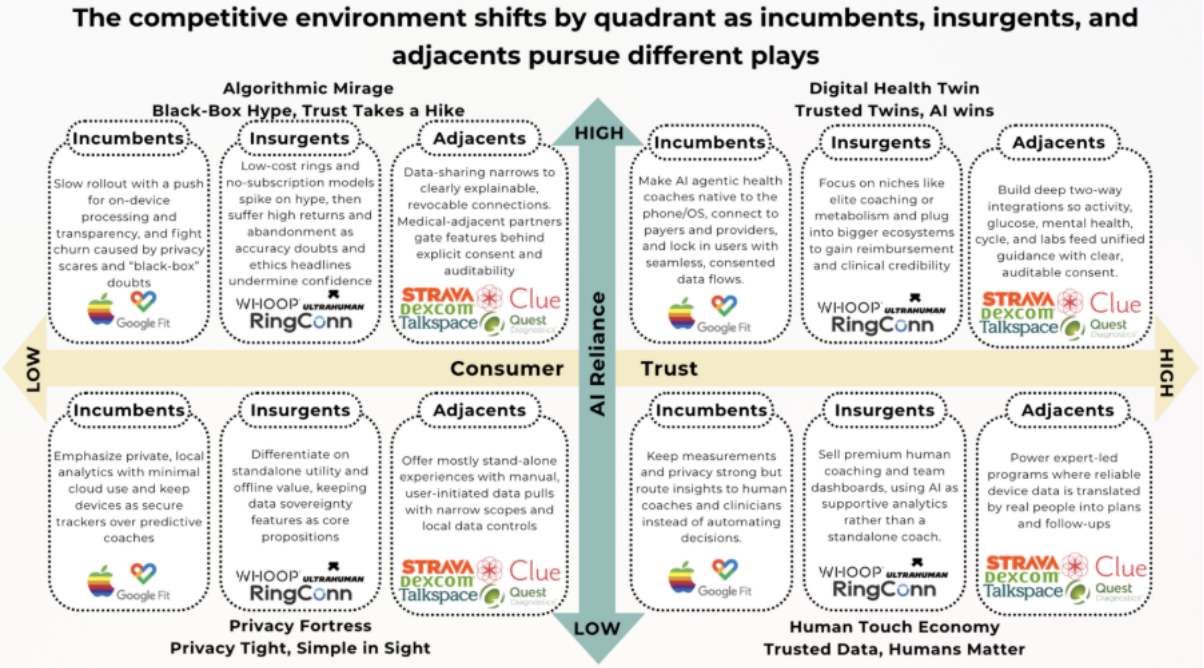
High – AI as the Primary Health Coach: Consumers fully trust AI to guide their health and wellness, relying on predictive insights for diagnostics, recovery, and lifestyle decisions. Wearables evolve into autonomous health companions, offering real-time, clinically backed, and hyper-personalized guidance. The market rewards platforms that deliver trustworthy, transparent, and explainable AI.

Low – AI as a Supporting Wellness Tool: Consumers remain skeptical of AI-driven guidance, preferring human expertise, empathy, and validation in wellness decisions. AI functions as a background enabler, augmenting human judgment rather than replacing it. The market favors hybrid models that combine intelligent analytics with human-centered care.

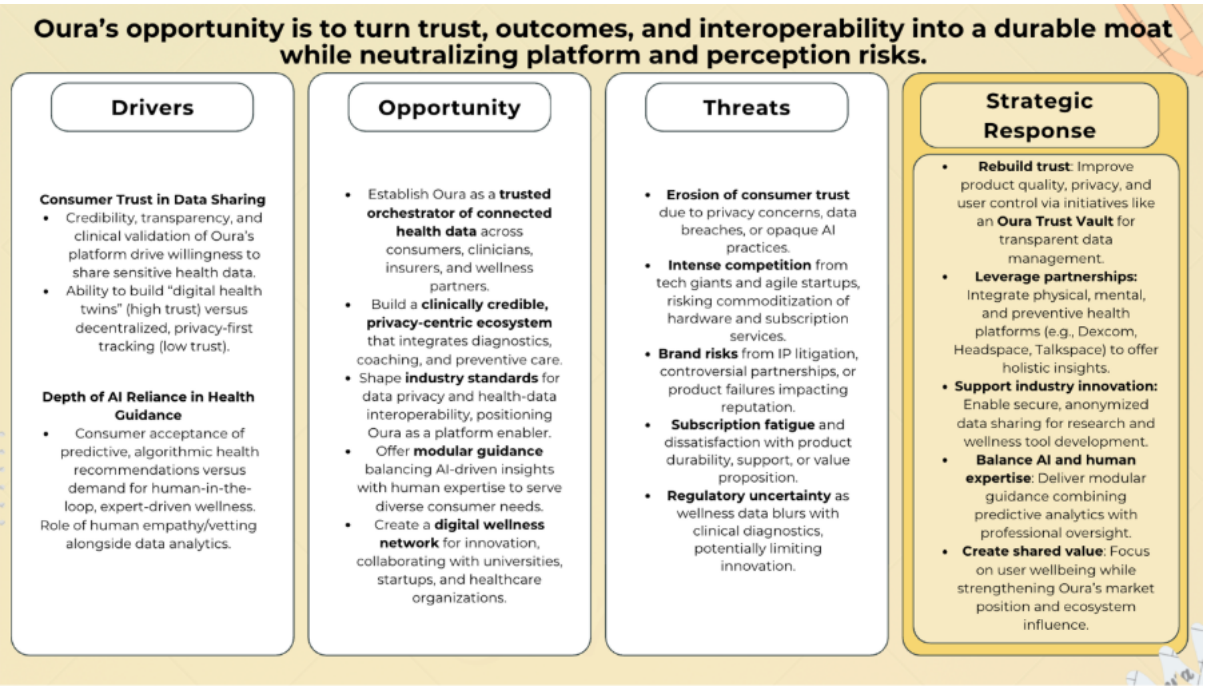
Four scenarios:



APPENDIX – 2: COMPETITIVE MAP



APPENDIX – 3: DOTS FRAMEWORK



APPENDIX – 4: STRATEGY

A Creating Shared Value plan turns today's ring into a trusted health platform and then into an industry operating layer.

Reconceive Products and Markets "The Trust Platform"

- Transform the Oura Ring from a wearable device into a trusted health data platform that protects user privacy and improves well-being.
- Build transparency through the Oura Trust Vault, giving users ownership and control over their data.
- This platform supports long-term user loyalty and differentiation from low-trust competitors.

Redefine Productivity in the Value Chain "Collaborative Health Ecosystem"

- Strengthen partnerships with Dexcom, Talkspace, Headspace, and insurers to turn biometric data into preventive wellness insights.
- Integrate AI and human-guided services to meet diverse user preferences and reduce system-wide healthcare costs.
- This collaboration increases productivity for both Oura and its partners, turning shared data into shared value.

Enable Local Cluster Development "Oura Health Network"

- Create a digital wellness cluster that links startups, universities, and healthcare organizations to innovate using Oura's ethical data infrastructure.
- Set data standards for privacy, interoperability, and clinical credibility across the industry.
- This strengthens the entire wellness ecosystem and positions Oura as its trusted orchestrator.

APPENDIX – 5: RECOMMENDATIONS

Actions operationalize Oura's shared value strategy - linking privacy, partnerships, and ecosystem innovation. By implementing them, Oura transforms trust and collaboration into sustainable competitive advantage over the next five years.

Recommendation	Strategic Action	Required Resources & Capabilities	Mechanism to Secure Resources	Shared Value Created
1. Launch the Oura Trust Vault	Develop a secure, user-controlled platform for managing personal health data and consent.	Data encryption, privacy compliance (HIPAA, GDPR), user education team.	Internal software development; partnerships with cybersecurity firms.	Builds user trust, strengthens brand transparency, and supports privacy-first innovation.
2. Expand Partnership Ecosystem	Collaborate with mental and metabolic health partners to integrate physical and mental wellness data.	AI analytics, open API systems, B2B partnership team.	Joint ventures and partnerships with health-tech firms and insurers.	Improves partner efficiency, enhances user wellness insights, and reduces healthcare costs.
3. Develop the Oura Health Network Cluster	Establish a collaborative innovation platform for researchers, startups, and healthcare institutions.	Open-data sandbox, partnership governance, Research and Development funding.	Partnerships with universities and hospitals; internal program management.	Fosters innovation, improves public health outcomes, and positions Oura as a wellness ecosystem leader.